

bedded chips and futuristic technology will be rolled out in 2022-23 to enhance the convenience for the citizens in their overseas travel. The back cover is expected to have a small silicon chip!

4. Tax benefits for startups extended. Existing tax benefits for startups, which were offered redemption of taxes for three consecutive years, to be extended by one more year. That's good news for electronics startups!

5. Duty concessions for electronics. Duty concessions being given to promote electronics manufacturing of mobiles, wearable and hearable devices.

6. Increased PLI for solar modules. ₹195 billion additional allocation for PLI for manufacturing high-efficiency solar modules has been made. This should result in further boost to 'Made in India' solar modules.

The promising statements

Here are promising statements that the FM made, which, if executed, could affect the electronics industry.

1. Opening of defence R&D. Defence R&D will be opened up for industry, startups, and academia with 25% of defence R&D budget. Private industry will be encouraged to take up the design and development of military platforms and equipment in collaboration with DRDO and other organisations through SPV model. Can this be the game-changer for India's electronics industry?

2. Battery swapping policy. A battery-swapping policy to be brought out with interoperability standards to boost EV ecosystem. While India had an opportunity to lead this space—had the Government executed Prof. Jhunjhunwala's plans in 2019—one hopes that this policy (whenever announced) will ensure we are not left behind, and EVs will become as budget-friendly as their ICE counterparts, and thereby provide tremendous demand

S. No.	Chapter, heading, sub-heading, or tariff item	Commodity	From	To			
				2022-23	2023-24	2024-25	2025-26
1	8517 79 10	PCBA	NIL	NIL	10%	15%	15%
2	8544	Charging cable	10%	NIL	5%	10%	15%
3	39, 73, 85	Specified parts of wearable devices	As per CTH	NIL	5%	10%	15%
4	8507 60 00/ 8507 80 00	Battery	15%	NIL	5%	10%	15%
5	8517 79 90	Display Assembly	NIL	NIL	NIL	5%	10%
6	8501	Vibrator Motor	10%	10%	10%	10%	10%
7	Any Chapter	Parts, sub-parts, and raw materials for use in the manufacture of the S.No. 1-6 above	As per CTH	NIL	NIL	NIL	NIL
8	8517 62 90	Wrist wearable devices (commonly known as smart watches)	20%	20%	20%	20%	20%

S. No.	Chapter, heading, sub-heading, or tariff item	Commodity	From	To			
				2022-23	2023-24	2024-25	2025-26
1	9028 90 10	Assembled/ Populated PCB for smart meters	7.50%	20%	20%	20%	20%
2	8517 69 90	Communication module	10%	Nil	Nil	5%	10%
3	8536 49 00	Relay	10%	5%	10%	10%	15%
4	8517 71 00	Antenna	Nil	Nil	Nil	5%	10%
5	8524 11 00/ 8524 91 00	LCD and backlight for LCD	15%	Nil	5%	10%	10%
6	8506 50 00	Battery	10%	Nil	5%	10%	10%
7	Any Chapter	Parts, sub-parts, and raw materials for use in the manufacture of the S.No. 1 to 6 above	As per CTH	Nil	Nil	Nil	Nil
8	9028 30 10	Smart Meters	15%	25%	25%	25%	25%

for electronics.

3. Private sector in EV. Private sector will be encouraged to create sustainable and innovative business models for battery and energy as a service, improving the efficiency in the EV ecosystem. Great thought. Look forward to greater execution.

4. Digital health. An open platform for the National Digital Health Ecosystem will be rolled out. It will consist of digital registries of health providers and health facilities, unique health identity and universal access to health facilities. Again, can create demand for multiple tech solutions and products to test and measure health parameters and store that data.

5. Drones for agri. Kisan Drones for crop assessment, land records, spraying of insecticides expected to drive a wave of technology in the

agri sector. Thankfully, we do see a bit of action already on the ground.

6. Data centres and energy storage to be infra. Data centres and energy storage systems to be given infrastructure status; this would provide easy financing.

In essence, the Union Budget has highlighted an objective that the Centre has been vehemently addressing for the past couple of years—the *Atmanirbhar Bharat* initiative. With the various electronics-related production linked Incentive (PLI) schemes and policies that the government of India has approved in the past year, it's eagerness to grow the EDSM sector of the country has only grown with the Union Budget. It is now for us to see how far these benefits take our country in the race to become a global leader in the electronics and tech industry. **EFY**